

Ethereum uses nodes, computer transactions and blockchaining, however, it has two main points of difference compared to Bitcoin.

The first is that the blockchain (list) is designed in such a way that transactions can only take place if all conditions are met. There's a thing called a smart contract that decides on the restrictions or rules.

The second is Decentralized Applications or dApps. Ethereum is basically flexible enough to allow other digital applications and programs to run on the Ethereum blockchain. In simple terms, Ethereum can be used to host gaming, social media and even financial services.

The downsides of crypto

One of the downsides of cryptocurrency is its real-world impact on climate change. The electricity used by Bitcoin alone is more than the electricity usage of entire countries such as UAE or the Netherlands. Bitcoin also causes over 30 kilotons of electronic waste (discarded computers, hardware etc.) every year. And this is just one cryptocurrency.

Another worrying point is the use of cryptocurrency by criminals. Due to the decentralised nature of cryptocurrency, it also can be used on the black market for illegal purchases that criminals don't want banks or governments to see. In 2020 alone, over \$10 billion worth of cryptocurrency was used for illicit activities. This may result in an ethical dilemma for some investors, while others may not have an issue with it. Again, it's a personal choice.

Cryptocurrency alternative (alt) coins

Alt coins are the Wild West of the cryptocurrency world. See, anyone can make a cryptocurrency: there's Trump coin, garlic coin or coinYe (named after and officially sued by Kanye West).

There are more than 17 000 types of cryptocurrencies available, and this number continues to grow. Bitcoin and Ethereum make up 60 per cent of the total market of crypto, which leaves 40 per cent to the alt coins. After Bitcoin and Ethereum, some of the largest alt coins include XRP, Cardano, Litecoin, Dogecoin and Stellar.

Cryptocurrencies are already highly speculative investments, but at least Bitcoin (ticker: BTC) and Ethereum (ticker: ETH) have some real world